BIZOPS • DEAL UNDERWRITING

Price the work.
Protect the capacity.

A repeatable approach for enterprise RL post-training: from a measurable customer problem to a defensible quote and contract.

01

Demand intake

02

Full delivery cost

03

Commercial price

04

Scope & protections

Four linked decisions produce one executable deal

01

DEMAND

Scope the problem

OUTPUT

Customer brief

›

02

COGS

Model how to deliver

OUTPUT

Cost + capacity plan

›

03

PRICING

Choose the right meter

OUTPUT

Quote + margin test

›

04

SOW

Assign risk clearly

OUTPUT

Signed work order

Approval rule: do not promise delivery or reserve new capacity until each handoff is credible.

Translate a customer goal into a testable workload

01 BUSINESS TASK

Workflow, volume, value

02 SUCCESS TEST

Baseline, held-out cases, grader

03 DATA + HARNESS

Examples, tools, environments

04 MODEL + METHOD

Starting weights; RL, SFT or distill

05 RUN SHAPE

Tasks, tokens, throughput, dates

06 GUARDRAILS

Region, privacy, budget, SLOs

Feasibility gate Only commit to RL after the baseline and grader can measure improvement.

Eight cost pools cover the full post-training delivery

01

Training GPUs

Model updates; distributed jobs

02

Rollout GPUs

Trajectory generation; decoding

03

Eval + graders

Held-out runs; judge APIs

04

Agent sandboxes

CPU, tools, execution environments

05

Engineering team

Research, FDE, infrastructure, PM

06

Data + checkpoints

Ingest, storage, retention

07

Network + operations

Egress, telemetry, on-call

08

Expected rework

Failed runs and grader changes

Expected COGS = Σ (volume × unit cost) + expected cost of rework

Match each workload to the right GPU capacity

CAPACITY CHECK	Existing spare	Extend a reserve	Pay as needed	New commitment	Customer cloud
Available when needed?	Only if unassigned	If expiry is near	If market has stock	After procurement	Subject to quota
New cash outlay	Minimal if prepaid	Extension charges	Only billed runtime	Full contract term	Usually paid by client
Unused-time exposure	Already committed	Extension leftovers	Low/no commitment	High if unused	Client holds GPU bill
Alternative customer value	May displace work	Reduces future flex	Little if available	Blocks other demand	Integration effort
Best use case	**Compatible free slots**	**Short dated gap**	**Uncertain pilot**	**Predictable portfolio**	**Isolation / control**

Choose the lowest risk-adjusted TOTAL commitment that meets GPU type, dates, region and latency.

Six questions determine the economics of available capacity

CAN IT RUN?

Correct GPUs, topology, region and dates

NEW SPEND

Cash we must pay to serve this deal

ALLOCATED COST

Share of prepaid capacity for reported COGS

BETTER ALTERNATIVE?

Contribution forgone by taking these GPUs

LEFTOVER HOURS

Noncancelable capacity after the job

DELIVERY RISK

Shortage, interruption, SLA or delays

Decision view ≠ accounting view: opportunity cost informs placement, but is not booked again as COGS.

Connect workload demand to dollar COGS

01 CUSTOMER WORK

Training tokens, RL rollout tasks, evaluation cases

Demand by model, context and iteration

02 ENGINE SPEED

Measured task / token throughput per GPU-hour

Different benchmark for each workload

03 GPU REQUIREMENT

Demand ÷ measured throughput = GPU-hours

Apply warm-capacity / scheduling floors

04 DOLLAR COST

Paid GPU-hours × supplier rate + delivery costs

Add labor, judges, storage and rework

Policy updates, rollouts and evaluations need separate measured rates. Tokens size demand; capacity contracts determine dollars.

The buyer sees four priced services, not a value pitch

SCOPE	BILLABLE UNIT	TOTAL	CUSTOMER DELIVERABLE
READINESS	1 phase	**$30K**	Approved baseline and grader
ENGINEERING	300 hours	**$78K**	Harness, tools, research integration
RL CYCLES	3 weekly × $24K	**$72K**	One run + eval + decision per cycle
HANDOFF	1 phase	**$30K**	Final held-out evaluation + checkpoints

BASE ENGAGEMENT **$210,000** One model • 3,360 included GPU-hours • approvals between cycles

The detailed customer quote defines model-size alternatives, extra-cycle rates, engineering rates, and inference options.

Price by model size, effort, and production service

SMALL MODEL

4–8B dense

$12K / RL cycle

up to 560 GPU-h

STANDARD MODEL

~20–40B active

$24K / RL cycle

up to 1,120 GPU-h

LARGE / MoE

Multi-node train

$60K / RL cycle

up to 2,800 GPU-h

MORE ENGINEERING

FDE $280/h • ML $320/h

PRODUCTION (SEPARATE ORDER)

Replica fee + $/1M input/output tokens

Internal approval: expected price ≥ cost ÷ (1 − target margin). Test 40–50% training GM; competitor offers must match scope.

Completion is evidence at four explicit delivery gates

0 BASELINE	Weeks 1–2	**Model + grader approved**	Versioned holdout + baseline result
1 SETUP	Week 2	**Harness and run ready**	Smoke test + config manifest
2 RL CYCLES	Weeks 3–5	**Weekly stop / continue**	Run ID, tokens, GPU use, score delta
3 HANDOFF	Week 6	**Model transferred, final eval**	Held-out comparison + checkpoint files

Acceptance: reproducible agreed evidence, not a guaranteed benchmark lift before baseline.

Production growth has a named boundary and reset trigger

BASE MODEL CHANGE

New weights / license / architecture

Re-benchmark and sign revised order

EXTRA RESEARCH

New workflow or RL cycles

Customer-approved change order

PRODUCTION ENTRY

New SLA / one region / two replicas

Separate service order after load test

SCALE-OUT

>20 concurrent or >100M tokens/month

Capacity amendment before new GPUs

Proactive scaling review when measured load >70% of SLO-compliant capacity for 2 weeks.

A short scorecard makes the final decision repeatable

✓ **VALUE**

Baseline + customer ROI credible

✓ **DELIVERY**

Feasible workload and team plan

✓ **CAPACITY**

Time-matched, compatible supply

✓ **ECONOMICS**

Margin floor + downside scenario

✓ **PAPER**

Risks + dependencies accepted

✓ **EXPANSION**

Next phase requires fresh approval

APPROVE	All checks pass
REDESIGN	One input can be fixed
DECLINE	Risk remains unbounded

The itemized buyer price reconciles to the cost model

Readiness	Engineering	3 RL cycles	Final handoff
$30K	$78K	$72K	$30K

CUSTOMER QUOTE **$210K** 3 weekly cycles, one approved model

Internal expected delivery COGS	**$112,097**
Forecast gross profit	**$97,903**
Expected gross margin	**46.6%**

The submissions directly answer the take-home

TAKE-HOME REQUIREMENT	DECK	DETAILED ASSET
Every post-training delivery cost	**Slides 04–07**	COGS / workbook
Assumptions, sources, exclusions	**Slides 03, 13**	COGS / Sources
Flexible per-deal model	**Slides 07–09**	Editable XLSX + quote
Customer itemized pricing + SOW	**Slides 08–11**	Customer quote + evidence SOW
Margin target and rationale	**Slides 09, 13**	Internal margin view
Price objections and competitor undercut	**Slide 09**	Presenter Q&A
Short/long protections and re-paper	**Slides 10–11**	SOW + revised service order

Source: AC GTM Take Home: Pricing the Engine (one-page uploaded brief).